

Plaintiff's opposition asserts that "[u]nreasonable delay alone may constitute waiver under *Morgan*." (Memorandum of Points and Authorities in Support of Opposition, 8:10-11, citing *Morgan v. Sundance, Inc.*, *supra*, 596 U.S. 411, 417-419.) However, the U.S. Supreme Court there noted it was only deciding the single issue of whether or not prejudice should be a factor in the arbitration-specific context of waiver. (*Morgan, supra*, 596 U.S. at 416-417.) As for whether timeliness is a factor for waiver under California law, *Quach* at least raised the question. (See *Quach, supra*, 16 Cal.5th at 584 [identifying "laches or timeliness" as "relevant to other defenses [...] but not to waiver."].) Plaintiff also cites *Bower v. Inter-Con Security Systems, Inc.* (2014) 232 Cal.App.4th 1035, but that case predates *Quach*, which changed the relevant standard, as detailed above, and involved a party that had propounded significant discovery requests on the party resisting arbitration.

Here, defendant took no action that reveals an intent to abandon the right to arbitration. Delay alone does not suffice. The delay here is further explained by defendant's hope to mediate and invest its limited resources in mediation, two of which were scheduled. Both mediation sessions were, according to the evidence presented, canceled by plaintiff.

Defendant asserted the arbitration defense in its answer, in the joint CMC statement prior to the June CMC, and at the CMC. Defendant did not propound any discovery on plaintiff or make any motions prior to this one. Once the August 2025 mediation was canceled by plaintiff, defendant attempted to have this motion heard on a shortened time basis.

In light of this factual background, the Court does not find "clear and convincing evidence" of defendant intentionally relinquishing or abandoning its right to compel arbitration and concludes there was no waiver.

D. Enforceability Subject to Delegation Clause

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for rescission of the agreement." (Code Civ. Proc., § 1281.2.)

Defendant asserts that it is the arbitrator who must decide whether the agreement is enforceable. While challenges to the validity of the underlying contract are generally for the arbitrator to decide, challenges to the validity of the arbitration clause itself are generally resolved by the court in the first instance. (*Jack v. Ring LLC* (2023) 91 Cal.App.5th 1186, 1196-1197, citations omitted.) This is because the usual presumption is that a court, not an arbitrator, decides threshold issues of arbitrability such as whether the arbitration agreement itself is valid and enforceable. (*Id.* at 1197, citations omitted.) Still, parties may agree to delegate authority to the arbitrator to decide threshold issues if such a delegation is "clear and unmistakable." (*Id.* at 1197, citations omitted.)

Here, the agreement states that "[t]he Arbitrator, and not any federal, state, or local court or agency, shall have exclusive authority to resolve any disputes relating to the interpretation, applicability, enforceability or formation of this Agreement, including but not limited to, any claim that all or any part of this Agreement is void or voidable."

Plaintiff does not respond to the issue of delegation. Accordingly, the Court finds this provision to be a "clear and unmistakable" delegation of threshold arbitrability questions and declines to further analyze the enforceability of the agreement.

7. 9:00 AM CASE NUMBER: C23-03203

CASE NAME: BRYANT POTTS VS. BUILDING CONNECTIONS BEHAVIORAL HEALTH, INC

***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES**

FILED BY: POTTS, BRYANT

TENTATIVE RULING:

Continued to January 22, 2026, at 9:00 a.m., pending the result on the motion to compel arbitration (see Line 6), with the expectation that if that motion is granted, this motion will be taken off calendar.

8. 9:00 AM CASE NUMBER: C23-03215

CASE NAME: MICHAEL PETERSEN VS. GOLD BOND BUILDING PRODUCTS, LLC.

***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL**

FILED BY: PETERSEN, MICHAEL

TENTATIVE RULING:

Plaintiff Michael Peterson moves for preliminary approval of his class action and PAGA settlement with defendant Gold Bond Building Products, LLC.

A. Background and Settlement Terms

The original complaint was filed by Mr. Peterson on December 19, 2023, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. Plaintiff filed a First Amended Complaint on August 19, 2025 (after this motion was filed), adding PAGA claims based on a PAGA notice filed December 19, 2023. The operative pleading is the First Amended Complaint.

The settlement would create a gross settlement fund of \$574,000. The class representative payment to plaintiff would be up to \$10,000. Attorney's fees would be \$191,500 (one-third of the settlement). Litigation costs would not exceed \$20,000. The settlement administrator's costs would not exceed \$8,000. PAGA penalties would be \$10,000, resulting in a payment of \$7,500 to the LWDA and \$2,500 to plaintiffs. The net amount paid directly to the class members would be about \$335,000. The fund is non-reversionary. Based on the estimated class size of 245, the average net payment for each class member is approximately \$1,367.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendants during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable. Checks undelivered or uncashed 180 days after mailing will be cancelled, and the funds transmitted to the State Controller's Unclaimed Property fund.

The settlement contains release language covering "all claims...that were asserted or that reasonably could have been asserted based on the facts alleged in the operative complaint and/or PAGA Notice Letter in the action[.]" Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim*